

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

IMPACT PRODUCTS, LLC AND SAFETY ZONE, LLC,
Complainants

v.

COSCO SHIPPING LINES CO., LTD., *Respondent*.

DOCKET NO. 24-09

Served: May 24, 2024

ORDER OF: Alex M. CHINTELLA, *Administrative Law Judge*.

ORDER DENYING MOTION TO DISMISS

On March 11, 2024, Respondent COSCO Shipping Lines Co. Ltd. (“COSCO”) filed a motion to dismiss the complaint, arguing that Complainants Impact Products, LLC and Safety Zone, LLC lack standing because they are not “direct purchasers” of COSCO’s services. Rather, Complainants were invoiced for the disputed charges by Laufer Group International, described as a freight forwarder in the complaint, which was “acting as a conduit” for the COSCO charges. Compl., ¶ 12.

Under the Commission’s direct purchaser rule, parties seeking reparations for charges assessed in violation of the Shipping Act can only recover if they actually paid the carrier, received an assignment from the party who did pay, or are an agent of that party. *In re Vehicle Carrier Services*, 1 FMC 2d 440, 2019 WL 5558120 at *5 (FMC Oct. 21, 2019). In their opposition to the motion to dismiss, Complainants stated that they “will receive a valid assignment of the claim from Laufer.” Opp’n, pp. 8-9. The complaint made no mention of this assignment, so I ordered Complainants to file an amended complaint pursuant to 46 C.F.R. § 502.66(a). In the interest of judicial economy, I deferred ruling on the motion to dismiss until after the amended complaint was filed. See May 6, 2024 Scheduling Order.

On May 17, 2024, Complainants filed their amended complaint, which attached an “Assignment of Claims Agreement.” This agreement refers to this case and other complaints pending before the Commission (“Administrative Proceedings”), assigning “any and all of [Laufer Group International’s] rights, title, interest, claims, cause or causes of action of any kind whatsoever which [Laufer Group International] has, or may have, arising from the Administrative Proceedings” to Complainants. Am. Compl., Exhibit A, p. 2.

Since the amended complaint cures the defect alleged in COSCO's motion to dismiss, the motion to dismiss is hereby **DENIED**. The parties must adhere to the schedule set forth in the May 6, 2024 Scheduling Order and the Initial Order.

**ALEX
CHINTELLA**



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ALEX CHINTELLA
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Alex M. Chintella
Administrative Law Judge